

Green marketing: a strategic balancing act for creating value

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The business world is rife with misguided attempts to market green products. Traditional environmental marketing, which focuses on garnering a price premium for greener attributes, has often struggled to meet the expectations of hopeful marketers. Some even argue that the concept of environmental marketing should be discarded in the same trash bin as the strategies that failed to deliver results (Makower, 2011). Indeed, when practiced poorly, environmental marketing can lead to disappointing outcomes, or worse, consumer backlash. While some companies have been able to build successful product lines and businesses that cater to the traditional green buyer, this segment appears to be small as a percentage of total consumers, and the demand seems to rise and fall with the vagaries of the economy and the pressures from low-price products (Clifford and Martin, 2011).

But when practiced well, environmental marketing can lead to competitive advantage and be a central part of a company's brand and value proposition (Leonidou and Leonidou, 2011). Innovative companies have been rethinking the practice and have developed new strategies that transcend traditional means. The most successful green companies have learned to go beyond the niche market for pure-green products by embracing new practices and approaches. Indeed, the practice of environmental marketing is changing, becoming both more sophisticated and individualized to the particular conditions of the practicing organization and target market. The astute manager understands that the practice has transformed from just selling green attributes to the green niche to a host of potential strategies that have proven successful across a number of contexts.

Some companies are creating products that deliver environmental value, but combine these values with strong functional and emotional appeal. Nest, a Silicon Valley company founded in 2010, created the Nest Learning Thermostat that delivers much more than just environmental attributes. Its ability to learn user habits provides convenience, and its aesthetic design compelled one observer to describe it as "a 'learning' thermostat that marries Apple IQ with Frank Gehry-style design" (Bosker, 2012). In 2011, it won the "Best of Innovations Award" granted by the Consumer Electronics Association in the Eco-Design and Sustainable Technology category (www.nest.com/ca/fr/press/nest-learning-thermostat-wins-ces-best-of-innovations-award-in-eco-design-and-sustainable-technology-category/). Through these attributes, the product combines environmental value with functionality and emotional appeal in a way that allows it to transcend the traditional green niche and cater to a variety of consumer profiles.

Other companies, like Hanna Andersson and New Belgium Brewing, see their environmental activities and attributes as an important part of a broader brand positioning and have learned that soft-selling those attributes is the best way to delicately navigate the often rough waters of environmental marketing. These organizations believe that

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authenticity in environmental performance and claims is critical to successful environmental marketing because consumers may eventually see through inauthentic messaging, false environmental claims and “green-washing” (Delmas and Burbano, 2011). Still, others find competitive advantage in marketing to industrial or commercial customers who increasingly monitor the environmental performance of their suppliers.

What is clear from these examples and trends is that the practice of environmental marketing is expanding, and companies are embracing new strategies. These strategies are reflective of new thinking about how (and where) to market environmental attributes and the benefits of green products and companies. With these new strategies, the potential for marketing the environmental attributes of products is substantial.

Five strategies for environmental marketing

Environmental (or green) marketing adapts traditional marketing functions to consider environmental benefits in the development, promotion, distribution and/or pricing of products and services (Miles and Covin, 2000; Ottman, 1998). It is typically implemented through a differentiation strategy based on superior product attributes that can help firms achieve competitive advantage (Reinhardt, 1998).

The theory behind environmental product differentiation is that environmental attributes will allow the business to charge a higher price for the product or capture greater market share (Reinhardt, 1998). When the environmental attribute increases costs of production, those costs must be at least outweighed by the price premium the business is able to attain in the marketplace (Reinhardt, 1998). When the creation of environmental attributes decreases costs of production, the company may incur a double benefit in the form of cost reductions and increased attractiveness in the marketplace.

While many see markets for green products and services as a relatively small niche, opportunities for positioning green products actually span a broad range of approaches. The key to understanding the nature of these strategies rests in understanding the value created by offering green products to the customer and embracing them as part of the value proposition of a company. Emerging strategies for environmental positioning and marketing fall into five categories, reflective of the potential customer base and types of value created for those customers. They include the pure-green play, marketing green status and image, selling functional value, targeting commercial markets and the holistic brand (See Figure 1).

Figure 1 Five strategies for environmental marketing



Strategy number 1: the pure-green play

The traditional approach to environmental marketing is to market the pure-green attributes of a product or service to consumers who hold values and beliefs that compel them to pay attention to the environmental impacts of the products they purchase (Roper, 2002). This *pure-green consumer* has a clear preference for products with lower environmental impact and may be willing to pay more for those attributes, even if those attributes provide no additional value for them beyond lower environmental impact (Ginsberg and Bloom, 2004). Practically, a pure-green play is typically mixed with other value attributes, such as status or functional value. Theoretically, however, it is important to distinguish this opportunity from other types, so as to identify a distinct buyer behavior that may be addressed in the marketplace.

An excellent example of a pure-green approach is the marketing of renewable energy to consumers. Renewable energy is sold to residential customers through specific green power marketing programs sponsored by utilities or through independent renewable energy credit providers. Buyers of green power are assured that a unit of renewable electricity is added to the grid for the units of electricity provided to their homes. Consumers do not get the exact electrons produced by renewable energy sources, but electrons from renewable sources are added to the grid in the amount that they purchase. The structure of these markets is complex, but their adoption rate is an indication of how much consumers value the pure environmental attributes of what they buy because they pay more for the assurance that renewable power was produced to offset their use without experiencing any observable change. Average penetration rates for utility-provided renewable energy in US residential markets was in the neighborhood of 2 per cent in 2009; on average, customers pay about 1.5 cents more per kilowatt/hour in these programs (Bird and Sumner, 2009).

The reasons why people buy pure environmental attributes are not entirely clear, but they appear to be at least partially linked to a concern for the welfare of others (perhaps altruism) and values of individual responsibility (Sheth *et al.*, 2011). In economic terms, such behaviors are termed the *private provision of a public good* because private individuals are paying for a social benefit. The extent to which individuals are willing to provide for the public good should not be underestimated because history has shown a significant willingness to do so in multiple contexts. Charitable donations, volunteer work and recycling are all behaviors that demonstrate a degree of “altruism” and/or individual contributions to society at large. So the potential for marketing pure-green attributes remains. The key to breaking into a larger segment of the market may lie in positioning those attributes in a way that makes it compelling and accessible to a broader customer base. Moreover, it is important for the marketer to understand that the extent to which an individual desires to provide for the public good varies substantially across cultural context, level of income and time (Sheth *et al.*, 2011).

Strategy number 2: market green status and image

An individual's willingness to purchase environmental attributes in products may also be driven by the desire for social status or image. Marketing to status and image conscious consumers has been useful in selling a wide variety of goods or services, and fulfilling an individual desire for affiliation with environmental attributes can also be a powerful

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marketing strategy (Reinhardt, 1998). Just as customers are attracted to the associations they receive from the purchase of a designer purse, a luxury vehicle or a large house, many customers want to send a green signal through their purchases. This signal appears related to their desire to send a message about their priorities, but may also serve to show others how thoughtful they are about the state of the world and how savvy they are about cutting-edge technology. The success of the Toyota Prius hybrid electric vehicle is a case in point. Although the vehicle clearly has other advantages, many drivers have embraced the image associated with the vehicle, an image that could speak to concern for both the environment and for dependence on foreign oil (Ottman *et al.*, 2006). The rising interest in green homes and solar energy panels may also stem from owners taking pride in their sustainable energy practices.

The irony of using green purchases to demonstrate a personal commitment to the environment is not lost on many observers, but at least it may be argued that in comparison to other consumptive alternatives, there is lower environmental impact from many green products. Selling to image-conscious green consumers bears some similarity to selling to those interested in the pure-green attributes of products in those societal values, timing and positioning matter a great deal. In addition, the ability to purchase costly status symbols tends to be correlated with income level. In the end, it may be difficult to distinguish whether buyers act out of “altruism”, a sense of individual responsibility or the desire to increase social status, as the motivations are likely related. However, the practical implication is that selling status and image through an emotional appeal that goes beyond altruistic environmental values may allow companies to capture a larger market and secure higher sales.

While pure-green consumers are likely attracted to the Nest Learning Thermostat, many other buyers are driven by the opportunity to make a statement about their lifestyle and the image associated with the product's unique design. Indeed, an increasing number of companies are capitalizing on selling eco-friendly products that are differentiated on the basis of aesthetics and design. The marketing of these products is centered on image-conscious consumers who not only value environmental responsibility, but who are also willing to pay more for designs that suit their discerned tastes and preferences.

From “beautifully illustrated” lunch boxes by Crocodile Creek (that are polyvinyl chloride-, Phthalate-, vinyl- and bisphenol A-free), to highly fashionable clothes made of natural or organic fabrics by Ethos Paris, Nau and Emilime, companies are using such strategies for environmental marketing. Another illustration is in the new wave of re-usable bottle companies like One Vessel, Life Factory and Love Bottle. While these companies sell products that appeal to environmentally conscious consumers, they have created unique bottle designs that transcend green principles. One Vessel, for example, combines environmental and aesthetic values in its marketing message. It describes itself as a company that is “committed to providing personalized and reusable drinkware that will encourage you to adopt a more sustainable lifestyle. After all, you deserve a bottle that looks this good!” (www.vesseldrinkware.com/ourstory/).

While many firms have been pleasantly surprised by the response of the pure green and green status markets, others have experienced disappointments (Neff, 2012). An exclusive focus on the pure-green and green status markets could potentially bring risks because these segments are driven by attitudes, incomes and contextual factors. This is particularly true when the green product has a higher price, lower quality or does not provide additional

customer value. *Green-marketing myopia* occurs when businesses focus too much on the pure-green attributes of their products, without considering important value drivers that increase the attractiveness of their offerings (Ottman *et al.*, 2006). Fortunately, focusing on the functional value drivers inherent to many green products can allow companies to transcend green-marketing myopia.

Strategy number 3: sell functional value

A superior approach to environmental marketing for many companies is to offer and promote functional value attributes that go beyond the pure-green and status attributes of green products to target a broader audience. This strategy has proven successful, if not transformative, in numerous industries from organic foods to green buildings.

This approach is attractive for three primary reasons. First, it broadens the target market for green products. Second, this strategy is more resilient to changes in customer attitudes toward green products because it provides a superior offering without reliance on green claims. Third, customer benefits are often embedded in greener products simply because of the nature of the products themselves. Indeed, many green products are not of inferior quality (a common criticism of them in the past; Ginsberg and Bloom, 2004), but instead offer superior quality and other benefits that enhance their value to customers. Customer benefits may include increased efficiency and cost effectiveness, health and safety, convenience and better overall quality and performance.

Increased *efficiency and cost effectiveness* can be important drivers of demand for green products. The most important efficiency in green products is probably enhanced energy efficiency, which is typically achieved through lighting (e.g. light emitting diodes), green building, home appliances and computer re-designs. Internet service providers (ISPs), for example, have realized the tremendous energy consumption necessary to maintain large banks of computer servers. To make matters worse, inefficient server banks create more heat, which increases the need for air conditioning in facilities. Server manufacturers have recognized the problem and begun to design more efficient servers and to promote the energy savings associated with their devices. Cost effectiveness in environmental products may span various stages in the life cycle of a product. First, reducing the energy use, materials consumption or waste generation in the processes of production can reduce the initial cost of the product to the consumer. Second, reducing the costs of distribution and sale can also affect total costs and reduce the price the consumer pays for a green product. Ownership and disposal costs are perhaps not as obvious, but they are also sources of opportunity for marketing green products.

Customers pay *ownership costs* to use the product throughout its life. Fuel efficiency in vehicles is becoming an increasing consideration as gasoline prices rise. Composite decking companies, such as Trex and TimberTech, combine recycled plastics with sawdust to produce a decking material that never needs to be painted or stained. *Disposal costs* are incurred at the end of a product's useful life, and are another important driver of green product purchases. For businesses, products that contain hazardous wastes can have high disposal costs because they often fall under strict regulatory requirements for handling and disposal. For consumers, disposing of hazardous wastes such as electronics, household chemicals and paints can require an extra trip to a dedicated facility, as well as charges for disposal of those products.

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In purchasing decisions, consumers may overlook ownership and disposal costs. But companies increasingly succeed at marketing lower ownership costs for items like light bulbs that have to be replaced less often. In addition, greater the amount of attention paid to such costs, the more significant the cost is to the buyer. Customers who buy in volume, or for whom the product represents a significant portion of their total costs, are likely to put more effort into estimating the costs of ownership and disposal.

Health and safety attributes may also be one of the primary drivers of the demand for green products. Organic foods are probably the clearest example. As consumers have become increasingly concerned with the use of chemicals in agricultural production, organic foods have provided an alternative that precludes the use of chemical pesticides, fertilizers and growth hormones. The sales of organic milk brands like Horizon Organic have benefited substantially by positioning their product as a healthier alternative. While a “good for the planet” image is also affiliated with the brand, mothers are mostly concerned with the health of their children and have helped make Horizon become the leading brand of organic milk in the USA. In addition, manufacturers of green building products are increasingly benefiting by offering products such as carpet, paint and furniture that reduce chemicals and indoor air pollution. As consumers examine such products, lower toxicity is often higher on their priority list than broader environmental concerns.

Finally, it has become increasingly obvious that some green products just *perform better* than their alternatives. Green buildings are arguably some of the highest-performing buildings, not just because they reduce costs of ownership, but also because they provide comfort, superior air quality, natural lighting and an environment in which people are productive. Newer, front-loading clothes dryers, while being both energy and water-efficient, tend to get clothes cleaner and dryer than do the top-loading styles that were standard in the USA for decades.

Combined, these functional value propositions for a wide variety of green products have increased the opportunities available to companies. Marketing green products has evolved from a narrow pursuit, focused on convincing a niche market to buy green for the sake of green, into a complex yet vibrant activity in which the functional benefits of green products are recognized and promoted to a broad audience.

Strategy number 4: target commercial markets

While most of the attention in environmental marketing focuses on selling to consumers, opportunities exist for promoting green products to commercial and industrial buyers. Indeed many companies have benefited much more from commercial markets than from consumer markets. Renewable Choice Energy started by marketing renewable energy credits to homeowners, but soon found that large customers like Vail Resorts, Whole Foods and various green building owners accounted for an increasing percentage of their sales. Solar power installers like Powerlight (now owned by SunPower) have focused on large commercial installations instead of residential customers, as such customers can deal much more effectively with the complexities of installations, and the transaction costs of each installation are likely much lower.

Marketing green products to commercial customers has a number of advantages. First, for commercial and industrial customers, cost is usually critical. To the extent that green products increase energy efficiency or otherwise lower costs, they can be very attractive.

VanDyne SuperTurbo, an engine-efficiency venture, plans to sell its products and technology to manufacturers of on-highway truck engines. In these markets, vehicle fuel-efficiency is important, and even single-digit gains in efficiency are highly valued. In addition, because purchases are completed in larger quantities, commercial customers may put more effort into learning about the attributes of various products. When selling a product with unique and new attributes, the marketer may be best served by targeting customers who understand the product or are willing to put the time to learn about its advantages. Because hazardous waste rules in commercial enterprises may be stricter, products that provide alternatives to the use of hazardous substances can also reduce costs.

But perhaps most importantly, commercial and industrial customers increasingly view their supply chain as an opportunity either to enhance their green image or to reduce their risk of criticism for purchasing from environmentally or socially deficient suppliers. Often, such actions are part of a larger corporate strategy to enhance sustainability or develop an environmental image. Large retailers like Wal-Mart have made substantial commitments to examine the sustainability of their suppliers and increasingly demand environmental metrics and performance from the companies that sell to them (<http://corporate.walmart.com/global-responsibility/environment-sustainability/sustainability-index>). While many companies may view this as a threat, others see an opportunity to differentiate their products to the world's largest companies.

Strategy number 5: the holistic brand

Some companies have chosen a completely different path to the idea of environmental marketing. Rather than promoting their environmental attributes directly, they are much more subtle. While they are happy for the occasional press release, they often choose to not aggressively promote their activities or the environmental attributes of their products. Interestingly, these companies have some of the most authentic value-driven businesses, active sustainability programs and impressive environmental performance in their industries. They may achieve a sense of doing the right thing, but it is also often the case that they are building a brand image to which environmental considerations are central. Thus, while they prioritize the quality of their product in their promotional efforts, they soft-sell their environmental action and performance. Most importantly, their environmental performance and activities help create and support a holistic brand image that is consistent with their product and business strategy.

One such company is New Belgium Brewing, located in Fort Collins, Colorado. Known for their high-quality Belgian-style beers with a fun and festive air, New Belgium has been an industry leader in wind-power adoption, water and energy efficiency and waste recycling. Although not aggressively promoted, their environmental efforts are widely known to their loyal customer base and are an inherent part of their brand image. Other companies that fit this model are Patagonia and Hanna Andersson. Although their activities are about as authentic as it gets, their promotional efforts often focus more on the quality of their products than on their environmental performance. Nevertheless, these brands stand by their environmental and social values and attract a wave of consumers who are loyal to them for those reasons.

“Fulfilling an individual desire for affiliation with environmental attributes can also be a powerful marketing strategy.”

“Green-marketing myopia occurs when businesses focus too much on the pure-green attributes of their products.”

This approach is both subtler and more holistic than other approaches to environmental marketing. The key seems to lie in understanding the complex relationships between the environmental attributes of a product, a company and brand image. By combining high-quality products with authentic environmental and social behaviors, these companies appear to be able to build trust and customer loyalty.

Environmental marketing for the future

While some argue that the marketing of green products has lost its effectiveness, innovative companies have found ways to capture market share and increase profits through environmental marketing. These companies have redefined the practice of environmental marketing to transcend traditional tactics. They have accomplished this through a variety of strategies for positioning green products and services. The implementation of these strategies requires a more individualized approach to environmental marketing that better pairs the benefits of green offerings with the drivers of customer value and a company's overall mission.

When targeting consumer markets, successful environmental marketing often transcends a unique focus on pure green customers. While opportunities exist within the pure-green segment, considering other value drivers for positioning green products can heighten the practice of environmental marketing to a new level. The implication for the future green marketer is that the value of environmentally superior offerings must often be combined with personal status drivers through emotional appeal, and/or with functional benefits to deliver enhanced efficiency, performance and user experience. In addition, as new firms and brands enter this space, opportunities exist to follow the lead of holistic brand names that appeal to loyal consumers who value authenticity, quality and overall superior experiences. There are also important opportunities for the marketing of green offerings targeted to commercial buyers. These are likely interlinked with functional benefits as companies pay attention to opportunities for enhanced efficiency and product performance. In addition, as managers expect more transparency in the environmental impact of their supply chain, green marketing will likely become more prevalent in the pursuit of commercial market opportunities. Success in such efforts is dependent upon providing clear and specific information that buyers can screen with relative ease and relying on authentic environmental claims that can earn companies a reputable name within their industries.

The recent growth of product categories like renewable energy generation, energy efficiency and organic foods, and the lasting success of companies like Patagonia, remind us that despite economic conditions, green products will continue to be an important force behind business growth opportunities. Understanding how to position these products in the market may be perhaps one of the most important determinants of success for companies in this space. Finding the appropriate strategy and providing a consistent, subtle and authentic message is a critical step in launching and positioning green products.

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